

- retirees may not wish to invest as aggressively as the traditional studies recommend, and
- there is no desire to build in a safety margin or bequest at the end of the thirty-year time horizon.

However, other factors suggest that sustainable spending may be even higher than traditional studies imply. Reasons for this include:

- actual retirees may tend to reduce their spending with age,
- they may build more diversified portfolios than used in the basic research studies,
- real-world retirees may be willing to adjust spending for realized portfolio performance, and
- some retirees may have the capacity and tolerance to accept higher portfolio failure probabilities because they have other sources of income from outside their portfolios.

Retirees need to weigh the consequences between spending too little and spending too much—that is, being too frugal or running out of assets.

This book is about implementing what I call the “probability-based” school of thought for retirement planning. It is especially relevant for people who plan to fund their retirements using an investment portfolio and those who are hesitant about using income annuities or other insurance products. I will explore annuities and insurance more extensively in later volumes, but for now, we have plenty to discuss within the world of sustainable spending from an investment portfolio in retirement.

I welcome your feedback and questions. You can reach me at:

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As a final note, I have avoided including footnotes to make the book more readable and give it a less academic feel. Each chapter ends with a “Further Reading” list that includes the bibliographic information for resources mentioned.